



Money Market Funds

What are money market funds?

Money market funds are a type of mutual fund (<https://www.investor.gov/introduction-investing/investing-basics/investment-products/mutual-funds-and-exchange-traded-1>) that invest in liquid, short-term debt securities, cash and cash equivalents. Money market funds have relatively low risks compared to other mutual funds and most other investments, but historically have had lower returns.

Money market funds generally fall into three categories: government money market funds; tax-exempt money market funds (also called municipal money market funds); and prime money market funds.

Money market funds are generally structured to cater to different types of investors. Some funds are intended for retail investors and are generally limited to individual human beings. Other money market funds, which typically require high minimum investments, are intended for institutional investors.

Important: The rules governing money market funds vary based on the type of money market fund. Before buying shares of a money market fund, you should understand which type of money market fund you are purchasing.

Why do people buy money market funds?

Many investors use money market funds to store cash or as an alternative to bank savings vehicles.

How do I earn money from money market funds?

Money market funds pay dividends that generally reflect short-term interest rates. Many shareholders reinvest the dividends into the money market fund. Money market funds have historically had lower returns than other mutual funds.

How do I buy and sell money market funds?

Like all mutual funds, investors buy and sell money market fund shares from/to the fund itself or through a broker for the fund, rather than from other investors on a national securities market. Also like all mutual funds, money market funds are redeemable on demand. This means that investors can generally sell their shares back to a money market fund on any business day at the net asset value (NAV) (<https://www.investor.gov/introduction-investing/investing-basics/glossary/net-asset-value>) per share. The NAV per share is the per share value of a fund's assets minus its liabilities.

Stable NAV. Most money market funds – including money market funds intended for retail investors and government money market funds – seek to keep their NAV at a stable \$1.00 per share. This means investors can generally buy and sell shares of these types of money market funds for \$1.00.

Floating NAV. Institutional prime and institutional tax-exempt money market funds must “float” their NAV like other mutual funds to reflect changes in the current market-based value of fund assets. This means that, although these money market funds still try to keep a fairly constant price, investors may buy or sell shares of these types of money market funds for more or less than \$1.00 per share.

How do I pay for my money market fund?

As with any business, running a money market fund involves costs. Funds pass along these costs to investors by charging fees. Fees vary from fund to fund.

What are the risks of investing in money market funds?

For all money market funds. Historically, the returns for money market funds have been lower than for other types of mutual funds. Because the yield for money market funds can be low, there is a risk that inflation will outpace and erode investment returns over time. Moreover, if short-term interest rates are very low, it is possible that fees charged by the

fund will exceed the income earned on fund investments, in which case fund investors may face losses. As with any investment, you should consider the impact of fees on your investment. In addition, money invested in a money market fund is not guaranteed by the FDIC like bank accounts are. There is therefore a risk you may lose some or all of the money you invested.

For stable NAV money market funds. If a stable NAV money market fund's NAV per share deviates by more than half a cent from \$1.00, the fund must re-price its shares to something other than \$1.00. This is known as "breaking the buck" and could happen when a money market fund is exposed to substantial losses from some of its holdings. If this happens during times of general turbulence in the financial markets, it could lead to a run on some money market funds. Although funds very rarely "break the buck," if one does, the investor's holding in the fund would lose value.

For floating NAV money market funds. As with other mutual fund investments, the value of floating NAV money market fund shares generally decreases or increases as the money market fund assets decrease or increase in value, respectively. If the value of the fund shares decrease, the investor's holding in the fund would lose value.

What should I consider before investing in money market funds?

- Before investing in a mutual fund, you should carefully read the fund's available information (<https://www.investor.gov/additional-resources/general-resources/glossary/information-available-investment-company>) , including its prospectus and most recent shareholder report.
- Consider whether the fund fits into your overall financial situation.
- Ask questions about anything you don't understand. You are entrusting your money to someone else. You should know where your money is going, who is managing it, how it is being invested, and how you can get it back.

Additional Information

Updated Investor Bulletin: Focus on Money Market Funds (<https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/focus-money-market-funds>)